Line	Amount
1. Gross potential rent (12 units at rent-roll rents × 12)	$208,200
2. Less vacancy loss (Unit 111, $1,500/mo)	($18,000)
3. Less non-revenue units (Unit 112, manager, $1,450/mo)	($17,400)
4. Less concessions (Unit 110, one free month)	($1,500)
5. Effective rental income	$171,300
6. Plus other income (laundry, parking, fees)	$6,600
7. Effective gross income	$177,900
8. Less operating expenses (TTM)	($79,800)
9. In-place NOI	**$98,100**
11. Going-in cap rate	**5.61%**

Line	Amount	How to think about it
1. Gross potential rent (annual)	208200	
2. Less vacancy loss	18000	This includes unit 111, the only vacant unit for 12 months
3. Less non-revenue units	17400	This includes unit 112, property managers free rent
4. Less concessions (year one)	1500	this includes unit 110 1 month concession
5. Effective rental income	171300	
6. Plus other income	6600	
7. Effective gross income	177900	
8. Less operating expenses	79800	
9. In-place NOI	98100	

The number is low mainly because of three items in the broker notes. Unit 111 is vacant, so its $1,500 asking rent is a projection, not in-place income. Unit 112 is listed at $1,450, but the manager lives there as part of their pay, so it brings in no cash. Unit 110's free month is a real concession, which makes its first-year effective rent $1,375 instead of $1,500.

If you just add up every rent on the roll and ignore the notes, you get $214,800 of income, $135,000 of NOI, and a 7.71% cap rate. That gap of roughly 210 basis points is the main takeaway.

A few judgment calls could move the answer slightly:

- **Units 108 and 109.** I kept them at $1,375. Unit 108's lease ended July 31, before the September 1 rent roll date, so it's presumably month-to-month. Unit 109's lease ends September 14. They could be raised toward the $1,500 market rate soon, but that's upside, not in-place income.
- **Replacement reserves.** I included the $3,400 in operating expenses, as lenders and appraisers usually do. Leaving it out, which brokers often do, gives $101,500 and 5.80%.
- **Unit 110 after the free month.** If you count Unit 110 at its $1,500 contract rent instead of the first-year effective rent, NOI is $99,600 and the cap rate is 5.69%.

Step 3: Claude showed no difference from my own work (I used Opus 5.5, medium), I did not coach the model in step 2